CHART PATTERNS

The Trader's Pattern Playbook

The 6 chart patterns that appear most often in the market.

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Chart patterns are repeatable price structures that signal what a stock is likely to do next. They work because they reflect the same human psychology playing out over and over — greed, fear, indecision, and conviction.

PATTERN 1

Bull Flag

A sharp upward move (the flagpole) followed by a tight, sideways-to-slightly-down consolidation (the flag) on lower volume. The breakout above the flag top is the entry. Target is the length of the flagpole added to the breakout point. One of the most reliable continuation patterns.

PATTERN 2

Bear Flag

The inverse of the bull flag. A sharp downward move followed by a weak consolidation on low volume. Breakdown below the flag bottom is the short entry. Most powerful after a gap down or a major support break.

PATTERN 3

Ascending Triangle

A series of higher lows pressing against a flat resistance level. Buyers are becoming more aggressive with each pullback. A break above the flat resistance on volume is a strong bullish signal.

PATTERN 4

Descending Triangle

A series of lower highs pressing against a flat support level. Sellers are becoming more aggressive with each bounce. A break below the flat support is a bearish signal. Watch for a volume spike on the breakdown.

PATTERN 5

Head and Shoulders

Three peaks — a left shoulder, a higher head, and a right shoulder roughly equal to the left. A break below the neckline on volume is a bearish reversal signal. One of the most reliable major top patterns.

PATTERN 6

Double Top and Double Bottom

A double top forms when price tests the same resistance twice and fails both times — bearish reversal when the low between peaks breaks. A double bottom is the inverse — two tests of the same support followed by a break above the high between them.

PATTERN TRADING RULES

→ Volume must confirm the breakout — low volume breakouts fail frequently.

→ The longer a pattern takes to form, the more significant the eventual move.

→ Trade with the trend — continuation patterns in the trend direction are highest probability.

→ Define your stop and target before entry, not after.

→ Wait for the pattern to complete before entering — never anticipate.